

Majumdar of Deloitte India is, however, confident that the global and domestic economic environment will be much more conducive to stronger investment and broad-based consumption growth going ahead. “Policy certainties post US elections and policy rate cuts would boost capital flows into India in the latter half of the fiscal year,” she notes. She adds that political stability in India following the General Elections, the assurance of policy continuity, and the thrust on job creation in the Union Budget announcements will further boost consumer confidence.

A NORMAL MONSOON AND THE UPCOMING FESTIVE SEASON MAY SPUR FIRMS TO MOVE INTO ON-GROUND ACTIVITY

Surprisingly, only 31% of the businesses surveyed believe that the announcements in the Union Budget 2024-25 will boost demand and maintain the growth momentum. Amongst the proposals, 27% are of the view that those around manufacturing and a higher PLI are the most important focus areas of the Budget that will impact their business, while 21% think that proposals for the micro, small, and medium enterprises are the most pertinent to their business. Only 11% believe that proposals on job creation and skilling are the most important focus areas of the Budget that will impact their business.

With a normal monsoon and the upcoming festive season, it is hoped that businesses will no longer just bide their time but will move into on-ground activity. **BT**

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CONSUMER DEMAND

VITAL SIGNS

Rural consumer demand—essential for overall economic growth—has finally outpaced its urban counterpart in the March quarter. Will it be sustainable enough for the RBI to take a fresh look at its interest rate policy?

BY ARNAB DUTTA

PHOTO BY GETTY IMAGES



► **THE CONSUMER GOODS** industry has been grappling with poor demand in rural areas. With the monsoon season now nearing its end, the country's consumer goods manufacturers and economists are increasingly placing their bets on a revival. As a prolonged slowdown in consumption of goods and services in the hinterlands hurt the leading fast-

moving consumer goods (FMCG) firms and, consequently, the overall economy, demand revival has been on top of most people's minds. Consumption had slowed down beginning in 2021 due to steep inflation that impacted the fragile purchasing power of rural households. With indications of an uptick in demand, industry veterans are banking on a good